

Mini Tutorial

Configuring Building Blocks in SQX

The 3 Strategy Types: Mean Reversion, Breakout and Trend Following

Introduction

If you don't know exactly what type of strategy you are building in StrategyQuant X, you are trading blind. A trend-following system is not the same as a breakout system or a mean reversion system.

This tutorial explains how to correctly configure Building Blocks, Order Types and Entry Blocks in SQX for each of the three main strategy types, so that the generator searches for what you actually want rather than producing random strategies.

Golden Rule

Combining all three strategy types in a single portfolio is what generates consistency and balance across different market conditions. Never build only one type of strategy.

1. The 3 Strategy Types

1.1 Mean Reversion

Exploits moments when price moves too far from its average value. The idea is to enter when the price is overextended and exit when it returns to its natural equilibrium.

Logic: Price is far from where it should be. You enter expecting it to come back.

Example assets: Highly correlated currency pairs such as GBP/USD, EUR/USD.

1.2 Breakout

Trades when price breaks through key support or resistance zones. The goal is to capture the surge in volatility and the beginning of a strong, fast move.

Logic: Price clears an important level. You enter in the direction of the break.

Example assets: Gold (XAU/USD) - a naturally bullish trending asset.

1.3 Trend Following

Detects a clear trend and trades in the direction of the main market move. Positions are held open as long as the trend continues, aiming to capture large price displacements.

Logic: The market has a clear direction. You join it and hold on.

Example assets: Stock indices during sustained trending phases.

2. Quick Comparison

Parameter	Mean Reversion	Breakout	Trend Following
Order Type	Limits	Stops	Market / Stops
Direction	Long and Short	One direction (asset trend)	One direction (dominant trend)
Building Blocks	Daily High/Low, High, Low, VP (POC/VAH/VAL)	Daily High, Weekly High, Range Max, VP (POC/VAH/IBH)	Moving averages, channels, ATR
Objective	Return to equilibrium	Capture the breakout move	Ride the trend
Trade duration	Short (quick bounce)	Medium (start of move)	Long (full trend)

3. Step-by-Step Configuration

3.1 Mean Reversion

Full Settings

- Go to Full Settings in your project
- Direction: Long and Short

Building Blocks

In the Stop Limits section, select only the following blocks:

- Daily High
- Daily Low
- High (candle high)
- Low (candle low)
- Volume Profile — POC (Point of Control, previous session)
- Volume Profile — VAH (Value Area High)
- Volume Profile — VAL (Value Area Low)

Why Volume Profile fits Mean Reversion: POC, VAH and VAL act as price magnets. When price extends far above VAH or below VAL, statistical pressure pulls it back toward the POC — the fair value of the previous session. Combine with a Limit order set inside the Value Area for clean reversion entries.

Important

You do not need to select all available blocks. Only select those that represent price extremes where the market is likely to bounce. Around 12 blocks is sufficient.

Order Types

- Select ONLY: Limits
- Deactivate: Market, Stop

Limit orders are the key to mean reversion: price must reach your defined level, confirming it has moved far enough from equilibrium to warrant a trade.

3.2 Breakout

Full Settings

- Go to Full Settings in your project
- Direction: Long Only (if the asset has a naturally bullish bias, such as Gold)

Why Long Only on Gold?

Trading only in the natural direction of the asset adds an extra edge. Gold has a structural long-term bullish bias, so going long only reduces noise and improves the quality of the strategies generated.

Building Blocks

Select only 4 blocks related to price highs and ranges:

- Daily High (daily maximum)
- High of X candles back
- Weekly High (weekly maximum)
- Range High (highest point over a defined number of candles)
- Volume Profile — POC of previous week / day (breakout above the previous session's fair value)
- Volume Profile — VAH of previous session (breakout above the Value Area)
- Volume Profile — IBH (Initial Balance High, first hour of session)

These blocks represent key levels that price can break to the upside, triggering a breakout entry.

Order Types

- Select ONLY: Stops
- Deactivate: Market, Limit

Stop orders are ideal for breakout strategies: you only enter if price actually breaks the defined level, confirming the breakout.

3.3 Trend Following

Full Settings

- Direction: One direction only, aligned with the dominant trend of the asset
- If the trend is bullish: Long Only. If bearish: Short Only.

Building Blocks

Select blocks that capture momentum and trend continuation:

- Moving averages (MA, EMA, SMA)
- Price channels (Donchian, Keltner)
- ATR-based levels (volatility-adjusted levels)
- Highs / Lows of longer periods (weekly, monthly)

Order Types

- Select: Market or Stops (both valid for trend following)
- Market: immediate entry when signal is confirmed
- Stop: entry only if price clears a confirmation level

4. The Key Differentiator: Order Type

The Order Type is the single most important differentiating factor between the three strategy types. Always remember this rule:

Order Type	Strategy Type
Limits	Mean Reversion
Stops	Breakout / Trend Following
Market	Trend Following (direct entry)

5. Building a Balanced Portfolio

The ultimate goal is not to have isolated strategies, but a diversified portfolio that combines all three types to achieve consistency and stability across different market conditions.

Diversification Principle

Trending markets favour trend-following and breakout strategies. Ranging markets favour mean reversion. By combining all three types, your portfolio works in any market condition.

Portfolio recommendations:

- Asset diversification: indices, forex, commodities
- Type diversification: at least one strategy of each type
- Timeframe diversification: different timeframes (H1, H4, D1)
- Validate every strategy with robustness testing before including it

6. Volume Profile — A Cross-Type Block

StrategyQuant X Build 144 introduced native Volume Profile blocks inside AlgoWizard. These blocks are unique because they fit BOTH Breakout and Mean Reversion strategies depending on how you use the output.

VP Output	As Breakout Block	As Mean Reversion Block
POC	Close crosses above POC → enter long with Stop order	Price extends from VAH/VAL toward POC → Limit entry at POC
VAH	Close crosses above VAH → breakout of Value Area, Stop order	Price above VAH → Short Limit at VAH expecting reversion
VAL	Close crosses below VAL → breakdown, Short Stop order	Price below VAL → Long Limit at VAL expecting bounce
IBH / IBL	Classic Initial Balance breakout (first hour range), Stop order	Failed IB breakout → Limit reentry inside the range
HVN / LVN	LVN breakouts (low-volume gaps) → price moves fast through them	HVN levels act as magnets → Limit entries expecting reversion

Key Rule for Volume Profile

The output level you choose (POC, VAH, VAL, IBH, IBL, HVN, LVN) defines the strategy type, not the Volume Profile block itself. Always combine the right output with the right Order Type: Stop for breakouts, Limit for mean reversion. Use SessionType = Previous Week for swing levels, Previous Day for intraday.

